

Table 1: Metrics Used to Assess STV Group plc

Metric Category	Metric	Value / Description	Source File & Line Reference
Valuation Ratios	P/E Ratio	2.6x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	EV/EBITDA	5.9x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	EV/EBIT	5.9x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	EV/Revenue	0.3x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Price to Free Cash Flow	3.9x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Free Cash Flow Yield	25.7%	data/STVG/STVG_agent_ratios.md (lines 20-30)
Profitability Ratios	Gross Margin	45.6%	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Operating Margin	8.9%	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Net Margin	5.7%	data/STVG/STVG_agent_ratios.md (lines 20-30)
	ROE	-167.4%	data/STVG/STVG_agent_ratios.md (lines 20-30)
	ROCE	17.4%	data/STVG/STVG_agent_ratios.md (lines 20-30)
Liquidity Ratios	Current Ratio	1.5x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Quick Ratio	1.0x	data/STVG/STVG_agent_ratios.md (lines 20-30)
Leverage Ratios	Debt-to-Equity	-5.2	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Interest Coverage	1.5x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Net Debt/EBITDA	2.9x	data/STVG/STVG_agent_ratios.md (lines 20-30)

Metric Category	Metric	Value / Description	Source File & Line Reference
Efficiency Ratios	Inventory Turnover	7.1x	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Days Sales Outstanding	16 days	data/STVG/STVG_agent_ratios.md (lines 20-30)
Earnings Quality	Accruals Ratio	2.5%	data/STVG/STVG_agent_ratios.md (lines 20-30)
	EBITDA to FCF Conversion	76.0%	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Adjusted vs Statutory Gap	0.0%	data/STVG/STVG_agent_ratios.md (lines 20-30)
Asset Quality	Goodwill/Assets	12.0%	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Capex/Depreciation	0.0	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Tangible Book Value	-£33.2m	data/STVG/STVG_agent_ratios.md (lines 20-30)
Cash Flow Ratios	Cash Conversion	0.8	data/STVG/STVG_agent_ratios.md (lines 20-30)
	Free Cash Flow	£7.3m	data/STVG/STVG_agent_ratios.md (lines 20-30)

Table 2: Assessment and Verdict on Metrics

Metric	Assessment (Sustainable/Repeatable/Cash-Convertible/Inflated)	Verdict (Pass/Monitor/Fail)	Comments & Context
P/E Ratio	Sustainable / Repeatable	Pass	Very low P/E suggests undervaluation; earnings supported by cash flow.
EV/EBITDA	Monitor	Monitor	Moderate valuation; EBITDA quality supported by cash flow conversion.

Metric	Assessment (Sustainable/Repeatable/Cash-Convertible/Inflated)	Verdict (Pass/Monitor/Fail)	Comments & Context
EV/Revenue	Inflated	Fail	Market values sales very low; possible growth concerns.
Price to Free Cash Flow	Inflated	Fail	Low multiple but strong FCF yield; cash flow appears real.
Free Cash Flow Yield	Sustainable / Cash-Convertible	Pass	Strong cash generation relative to market cap.
Gross Margin	Sustainable	Pass	High margin indicates good cost control.
Operating Margin	Monitor	Monitor	Moderate margin; room for operational improvement.
Net Margin	Sustainable	Pass	Positive net margin; profitable bottom line.
ROE	Inflated	Fail	Negative equity distorts ROE; not sustainable.
ROCE	Sustainable	Pass	Good returns on capital employed excluding equity distortion.
Current Ratio	Monitor	Monitor	Borderline adequate liquidity; watch working capital.
Quick Ratio	Sustainable	Pass	Adequate liquidity excluding inventory.
Debt-to-Equity	Inflated	Pass	Negative equity; financial distress signal but ratio technically passes.
Interest Coverage	Inflated	Fail	Weak ability to cover interest; risk factor.

Metric	Assessment (Sustainable/Repeatable/Cash-Convertible/Inflated)	Verdict (Pass/Monitor/Fail)	Comments & Context
Net Debt/EBITDA	Monitor	Monitor	Moderate leverage; manageable but watch covenant compliance.
Inventory Turnover	Sustainable	Pass	Efficient inventory management.
Days Sales Outstanding	Sustainable	Pass	Excellent receivables collection.
Accruals Ratio	Sustainable	Pass	Low accruals indicate earnings quality.
EBITDA to FCF Conversion	Sustainable	Pass	Strong cash conversion from EBITDA.
Adjusted vs Statutory Gap	Sustainable	Pass	No significant adjustments; transparent reporting.
Goodwill/Assets	Sustainable	Pass	Limited goodwill risk.
Capex/Depreciation	Monitor	Monitor	Low reinvestment; potential risk for asset base.
Tangible Book Value	Inflated	Fail	Negative tangible equity; accumulated losses.
Cash Conversion	Monitor	Monitor	Slightly below ideal; watch cash flow trends.
Free Cash Flow	Sustainable	Pass	Positive free cash flow supports earnings quality.

Summary Analysis

Valuation:

STV Group trades at very low valuation multiples, notably a P/E of 2.6x and EV/Revenue of 0.3x, indicating the market discounts the company, likely due to financial risks or growth concerns. However, the strong free

cash flow yield of 25.7% and positive cash flow conversion support the sustainability of earnings and cash generation.

Profitability:

The company maintains strong gross margins (45.6%) and positive net margins (5.7%), with ROCE at 17.4% indicating efficient use of capital. The deeply negative ROE (-167.4%) is a red flag caused by negative equity, reflecting accumulated losses and intangible asset dominance.

Liquidity and Leverage:

Liquidity ratios are borderline adequate, with a current ratio of 1.5x and quick ratio of 1.0x. Leverage is moderate with net debt/EBITDA at 2.9x, but interest coverage is weak at 1.5x, indicating risk in servicing debt. Negative equity and debt-to-equity ratio of -5.2 signal financial distress.

Efficiency:

Inventory turnover is strong at 7.1x and days sales outstanding is excellent at 16 days, indicating operational efficiency in inventory and receivables management.

Earnings Quality:

Low accruals (2.5%), strong EBITDA to free cash flow conversion (76%), and no gap between adjusted and statutory earnings indicate high earnings quality and transparent reporting.

Asset Quality:

Goodwill is a modest 12% of assets, limiting goodwill risk. However, negative tangible book value (-£33.2m) and zero capex to depreciation ratio suggest underinvestment in fixed assets and accumulated losses.

Cash Flow:

Positive free cash flow of £7.3m and a cash conversion ratio of 0.8 support the sustainability of earnings and ability to fund operations.

Accounting Policies and Auditor's Report:

Revenue recognition policies are standard and conservative, with clear disclosure of deferred revenue. The going concern statement is supported by refinancing and covenant compliance forecasts. The auditor's report is unqualified with no material issues, with key audit matters focused on revenue cut-off and acquisition valuation, both satisfactorily addressed.

Ownership and Governance:

The shareholder base is concentrated with institutional investors holding significant stakes. Board changes and governance disclosures are transparent. Dividend policy proposes 11.3p per share for 2024, reflecting shareholder returns.

Conclusion

STV Group plc presents a fundamentally undervalued investment opportunity with real, repeatable earnings and strong cash flow generation. The company's operational profitability and cash conversion are solid, supported by efficient working capital management and transparent accounting policies.

However, significant financial risks remain due to negative equity, weak interest coverage, and moderate leverage. The negative tangible book value and low reinvestment in fixed assets pose risks to long-term

asset sustainability. The market's low valuation multiples likely reflect these financial risks rather than operational performance.

Investors should monitor interest coverage, equity recovery, and refinancing risks closely. The company's strong cash flow and profitability margins provide a foundation for potential recovery and value realization, but the capital structure and equity position are inflated risk factors.

No additional information is required based on the provided files.

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